some medium- to high-ticket items that are paid by the consumer. The advantage for BNPL operators is that they and the merchants can use to the hilt the data gathered from consumers to push deals and offers to gullible consumers, who get into the loop of buying and paying off in instalments. Such consumers keep both the retailers and BNPL players in business.

"I have been more impulsive with BNPL. It is an addiction, sometimes, to look for deals even when I don't need things, which I then land up buying," rues Shah. She is not alone. The easy and free credit culture has existed for a long time and many stores capitalised on the consumer psyche by offering what appears to be a sweetened deal, so much so that people seldom compare the prices of goods or shop around to look for options. Such buying behaviour has also eroded the concept of maximum retail price and dealer discounts that exist on several products sold through retail stores.

Taking advantage of the consumer mindset, several product manufacturers and retailers began to offer exclusive products and deals. For instance, a manufacturer offers a specific model of a microwave or washing machine only through a select retail chain. This way, the retailer and manufacturer control costs, sometimes by even compromising on quality. At the same time, a fully-loaded version of the same product is available at a significantly higher price. Buyers naturally gravitate towards the lower priced product.

The retailer and the product manufacturer get into an arrangement that works favourably for them when a BNPL player is also included to further their sales. Is this allowed? There is no regulation by the competition commission or any other regulator yet that bars manufacturers and sellers from operating such a model. Moreover, with multiple regulatory bodies associated with the inclusion of BNPL, there are very little checks on the veracity of such operations.

There are positives to the BNPL model—if you are financially smart and savvy (see *Caveat Emptor*). Consumers who want to make a large purchase without tying up too much cash flow can benefit from paying in instalments. Chari bought a laptop in mid-2021 when he could no more operate classes for his younger son on the smartphone. "I could not pay Rs 25,000 for the laptop upfront. The BNPL came in handy," he quips.

There is plenty of data to indicate the growing size of the BNPL market in India, but no regulatory body to control this segment. The RBI wants to focus on protecting the customer, making the digital lending ecosystem secure. However, it is yet to spell out who will regulate BNPL and how the ecosystem can work towards consumer protection. The absence of credit score at the time of lending, in the case of BNPL, is something to be concerned about. It is also unclear how the KYC (know your customer) mandate is checked by BNPL.

Consumers should not be blinded by easy credit. For now, BNPL takers are the ones who face the dual challenge of poor cash flows and a poor credit score that doesn't allow them loans from banks and NBFCs. Equally worrying is the fact that BNPL is predominantly availed by youngsters who do not have the savings to pay for their desires on an endless credit cycle. They no more live paycheque-to-paycheque; they live EMI to EMI, sometimes borrowing to service existing EMIs. ■

–Narayan Krishnamurthy

CAVEAT EMPTOR

- Things are not always as they seem. The free credit period that is on offer when using BNPL is not always free. There are charges that you pay for the easy and convenient payment
- On low ticket-items, the BNPL's offer of 6-8 week, no-interest repayment model, is appealing compared to the monthly revolving interest one pays on credit cards, when they don't pay the credit card outstanding bill in full
- But what happens when one defaults or delays the BNPL payment? There is no standard practice today followed by BNPL players. But each one of them charges the defaulting consumer a late fee, penalty and a higher interest on the outstanding payment that is defaulted. Several risks crop up when you go for BNPL without reading the fine print. Hidden costs, long disclosures in small print size make it difficult for consumers to know what they are getting into till they face a difficult situation.
- Many consumers don't realise that their repayment behaviour is captured through the bank transactions with BNPL players and that can impact their credit score. BNPLs, especially those in partnership with banks and NBFCs, inform the credit bureau of defaulting consumers. Availing credit through BNPL is not completely outside the purview of credit rating agencies which can come to bite you later when you really need a loan, and are denied it owing to a poor credit score.
- More importantly, borrowing costs go up whenever you delay or default on payment. Just because you can buy now, pay later doesn't mean that you should. If you have a history of compulsive spending, borrowing and credit card misuse, be cautious when choosing this option.